

always invest some portion in the equity market. (reasons explained in detail, by Week 5)

Now, as you've detailed into the saving bucket, you can allocate the percentage to each goal. Depending on the importance you have for each expense, you can divvy the amount accordingly.

From the monthly salary, as you take out fixed costs, investments and small-term savings, the balance remains for irrational expenditure – FINALLY!

4) Guilt free Spending

Imagine the feeling you'd have when someone gives you money with no chip on your shoulder: No worries over the future nor any pre-determined commitments to fulfill (ex: parents' home loan). This is guilt free spending.

You could take the money, buy shoes, or you could do an impromptu bike trip. You could do peanut butter fingers all night, every night or slam-chow cheese pizzas at will. Whatever you do, this question no longer hangs over your head: *'Am I spending too much?'* The feeling of having money that I can spend irrationally sometimes makes me the happiest person on earth. You could feel the same, if you've followed the money allocation process:

Salary = Fixed costs - Investments - savings - expenditure

Being brought up in a middle-class environment made me acutely aware that there is some responsibility perennially hanging over one's head. As I grew up, my mom had to keep working to keep me educated. As time progressed she wanted something for herself but it wasn't possible always. An impulsive purchase or miscalculated expenditure stung for days. Seeing what my parents had been through made me realize that having some amount for irrational expenditure is a saner version of living life. Funding my future needs first, I could rely on this feeling of being assured for the remainder of the month. This sort of represented, that I have done my homework before I spent the evening at the park.

Most of the friends I know, have kept 15 percent to guilt-free spending. But you can accord this portion depending on your conscious-spending plan.

Constituents of your Conscious Spending Plan